AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B629
Managing 2: Marketing and Finance

Final Examination/Form C

2024-2025 / SPRING
4-June-2025

AOU EXAM

Number of Exam Pages: 4 (including this cover sheet)	Time Allowed: 3 hours

INSTRUCTIONS:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examina
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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YOU HAVE TO ANSWER ALL QUESTIONS IN ESSAY FORMAT.

Note: Kindly adhere to the guidelines provided below each question when answering.

Question 1- Case Study

MedicaHealth Solutions, a healthcare provider, uses financial information to manage cash flow, liquidity, and solvency. Financial data helps the company plan, control activities, and allocate resources effectively. Employees contribute to financial health by improving productivity and managing budgets, though linking individual performance to overall financial outcomes can be challenging. Stakeholders such as investors, creditors, employees, and the local community rely on accurate financial information. Investors assess returns, creditors monitor debt repayment, employees use financial data for salary and incentive decisions, and the community is concerned with how the company uses public funds. Financial information ensures transparency, helps in decision-making, and satisfies the needs of all stakeholders.

Question:

Describe the role of financial information in MedicaHealth Solutions and explain how it supports decision-making and resource allocation. Identify and explain the key financial stakeholders at MedicaHealth Solutions. Discuss what specific financial information do these stakeholders need? (34 marks)

Question 1 Answer Guidelines and Marks

To answer this question effectively, explain the role of financial information and how it supports decision-making (15 marks). Identify and explain the key financial stakeholders at MedicaHealth Solutions from the case study (10 marks). Explain what specific financial information these stakeholders need (5 marks). Ensure your answer is well-organized, with logical flow and relevance, to earn 4 marks for structure, which makes a total of 34.

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Question 2. Scenario - Budgeting in a Commercial Organization.

A commercial organization plans its annual budget to increase profitability. The finance team must balance production, marketing, and expansion costs while setting realistic sales targets. However, the sales team argues that the set targets are too high given the current market conditions.

Discuss the steps in preparing the budgeting process, considering the coordination between departments and setting achievable targets. How should the organization use the budget for planning and control, and what steps should be taken if the sales targets set by the budget appear unrealistic during the year? (33 marks)

Question 2 Answer Guidelines and Marks

To answer effectively, discuss the budget process and explain why the budget team should coordinate with other departments to set achievable targets (15 marks). Using the control loop model of planning and controlling, discuss how budget can be used for planning and controlling activities and resources (10 marks). What step should the organization take if the budget deviates from the plan during the year (5 marks). Ensure your answer is well-organized, with logical flow and relevance, to earn 3 marks for structure, totaling 33.

Question 3 (33 marks)

A particular action/decision's costs and benefits can be evaluated to determine the decision's monetary viability. Using appropriate examples, explain the relevant and non-relevant costs and examine the limitations of financial evaluation based on relevant costs.

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Question 3 Answer Guidelines and Marks

To answer effectively, explain the relevant and non-relevant costs with examples (15 marks) and examine the limitations of financial evaluation based on relevant costs (15 marks). Ensure your answer is well-organized, with logical flow and relevance, to earn 3 marks for structure, totaling 33.

END OF EXAM

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